

TRANSACTION COST SCHEDULE — EVERY LINE

Asterial Limited · €20m for 20 per cent · DRAFT for discussion, 31 August 2026. So that no cost of this transaction is discovered after it has been committed to. Estimated market ranges for budgeting; none is a quotation and no adviser has been approached.

#	Cost item	Borne by	Low	High
1	Investor arrangement or administration fee — up to 2% of funds advanced, charged by the funder to cover its own costs. Not yet confirmed.	Company	€0	€400,000
2	Investor legal costs contribution — standard practice, must be capped at a hard figure	Company	€75,000	€125,000
3	Origination / success fee — 2% for sourcing and closing the terms, part deferred	Company	€300,000	€400,000
4	Company legal — term sheet, subscription and shareholders agreement, new constitution, disclosure letter, warranties, completion	Company	€125,000	€250,000
5	IP assignment, licence and boundary definition	Company	€40,000	€120,000
6	Tax structuring and tax due diligence , including the founder allocation	Company	€30,000	€75,000
7	Financial due diligence — investor-appointed	Company	€45,000	€110,000
8	Technical, product and EU AI Act diligence	Company	€40,000	€120,000
9	Commercial and market diligence , if required	Company	€0	€90,000
10	Accounts and management information to diligence standard	Company	€15,000	€50,000
11	Valuation report , if required for share option or tax purposes	Company	€0	€25,000
12	CRO filings, company secretarial, share issue mechanics	Company	€3,000	€12,000
13	Directors and officers insurance , first year	Company	€5,000	€25,000
14	Corporate finance adviser — EXCLUDED . The investor is sourced and the price is agreed; diligence and process are managed internally	—	NIL	NIL
Sub-total			€678,000	€1,802,000
15	Irrecoverable VAT at 23% on professional fees. Arrangement fee and insurance are typically exempt. Recoverable only against taxable supplies — confirm with accountants	Company	€154,790	€316,710
TOTAL COST OF THE TRANSACTION			€832,790	€2,118,710

WHAT IS LEFT

	Low cost case	Central	High cost case
Funds raised	€20,000,000	€20,000,000	€20,000,000
less founder allocation	(€2,200,000)	(€2,200,000)	(€2,200,000)
less total transaction costs	(€832,790)	(€1,450,000)	(€2,118,710)
Available to deploy	€16,967,210	€16,350,000	€15,681,290

The €16.0m to €16.5m working assumption holds in the central case. It does not hold in the high case. The line that breaks it is item 1. If the funder charges a 2 per cent arrangement fee *and* a 2 per cent origination fee is paid, that is **€800,000 of fee on the same €20m, or 4 per cent, before a single lawyer has been instructed**. Establish whether an arrangement fee is being charged, and at what rate, before the term sheet is agreed.

THE FIVE THINGS THAT MUST BE SETTLED IN THE TERM SHEET, NOT AFTER IT

- **The arrangement fee.** Charged or not, at what rate, and deducted at drawdown or invoiced? Deducted at source, the company receives less than €20m while issuing shares for €20m.
- **A hard cap on the investor's legal costs.** A number, not "reasonable costs". €100,000 to €125,000 is fair here. Uncapped, the line has no ceiling.
- **Who bears costs if it does not complete.** Most of the spend is incurred before completion and stays payable either way.
- **The founder allocation and how it is structured.** A secondary share sale is a capital disposal; paid out of the company it is likely income. On €2.2m that is roughly €400,000 of tax. An agreed term, not an assumption.
- **Whether every cost is properly the company's.** Fees referable to the founder's personal share sale sit personally. Straightforward now, uncomfortable at completion.

WHAT WE HAVE DELIBERATELY NOT INCLUDED

- **Recruitment and search fees** for the technical team. A separate mandate, separately priced and papered, and an **operating cost out of the deployed funds**, not a transaction cost. 20 to 25 per cent of first-year package on contingency, 25 to 30 per cent retained. **Never bundle it into a success fee.**
- **Ongoing cost of the investor relationship** — board reporting, investor director, management accounts, probable audit. **€50,000 to €100,000 a year, permanently.**

DRAFT for discussion. Not for onward circulation. Meridian Intelligence · 31 August 2026 · Private and confidential. All fee figures are estimated market ranges and are UNVERIFIED; no adviser has been approached and no fee quoted. Irish tax rates are headline rates; reliefs may apply. For budgeting and discussion only, not advice.